Credits and Deductions

When managing your taxes, it's important to understand the difference between a credit and a deduction. Credits are dollar-for-dollar reductions of your income tax liability. In other words, a credit reduces the amount of tax you owe by the amount of the credit (a $500 credit reduces your tax bill by $500). Credits are usually much better for you than deductions.

Deductions reduce the amount of income that you get taxed on. A $500 deduction does not reduce your tax bill by $500. Instead, it reduces your taxable income by $500. You pay less in taxes, but you don't give a dollar-for-dollar reduction. If you pay taxes at 25 percent, a $500 deduction might save you $125 in taxes (25 percent of $500).

Education Benefits

In your twenties and thirties, you should particularly keep your eye out for education benefits. You may be finishing college or pursuing an advanced degree. The best way to make sure that you take advantage of these benefits properly is to talk with an accountant or tax preparer.

American Opportunity Tax Credit

If you are in your first four years of postsecondary education, look into the American Opportunity Tax Credit. This program offers a tax credit of up to $2,500 in 2012. It is one of the most powerful education benefits, as you get a dollar-for-dollar credit on the first $1,500 of qualified expenses. You'll have to qualify with certain income, enrollment, and other characteristics. The credit is refundable up to $1,000 in excess of your income tax liability so those college students paying their own tuition should file an income tax return even if they had no income for the year.

Lifetime Learning Credit